

and find that an arbitrage opportunity exists as the implicit cross rate does not equal the quoted rate:

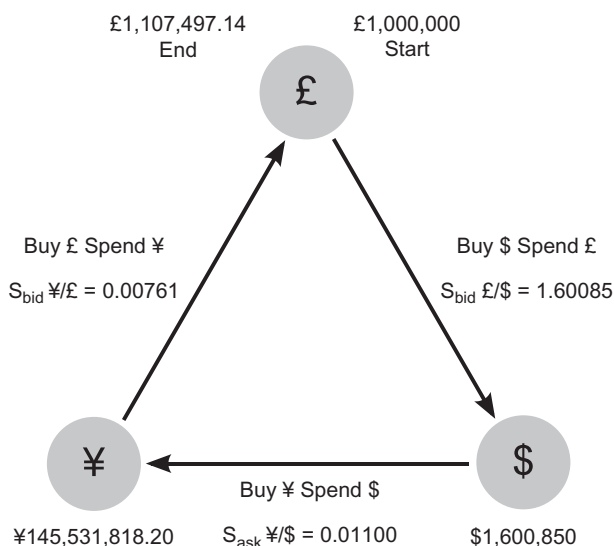
$$JPY/USD_{ask}^{implied} \neq JPY/USD_{ask} \quad (13.17)$$

We can capitalize on this inefficiency by buying dollars and spending pounds, spending those dollars to purchase yen and subsequently exchanging our recently acquired yen into pounds. Given a £1,000,000 we earn an arbitrage free profit of £107,497.14. All these steps are summarized in Figure 13.3.

Liquidity Trading

Liquidity trading is a particularly adept high frequency trading strategy which mimics the role of the traditional market maker. Liquidity traders, or scalpers for short, attempt to make the spread (buy the bid, sell the ask) in order to capture the spread gain. Such efforts allow for profit even if the bid or ask do not move at all. The key idea here away from traditional day traders is to establish and liquidate positions extremely quickly.

Contrary to traditional traders who would double down on winners, scalpers gain their advantage through increasing the number of winners. The aim here is to make as many short trades as possible, whilst keeping a



■ Figure 13.3 Triangular Arbitrage Example.